

Tax avoidance — historical background [¶33-010]

[¶33-010]

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The potential application of the general anti-avoidance provision is critical to any tax planning exercise. It is critical because its successful application can reverse any tax benefits created by an arrangement and secondly, there can be exposure to 100% shortfall penalties under s [141D](#) of the Tax Administration Act 1994 (TAA).

Brief historical overview of the general anti-avoidance provisions

The general anti-avoidance provision is contained in ss [BG 1](#), [GA 1](#) and [YA 1](#) of the Income Tax Act 2007 (IT07). Section [BG 1\(1\)](#) states that a tax avoidance arrangement is void as against the Commissioner for income tax purposes. Hence, if the arrangement is a tax avoidance arrangement, it will not have effect for tax purposes. That does not mean that the various contracts making up the arrangement will not still be effective under the general law between the parties. The phrases “tax avoidance arrangement”, “tax avoidance” and “arrangement” are all defined in s [YA 1](#). Once an arrangement is found to be void because of the application of s [BG 1\(1\)](#), then s [BG 1\(2\)](#) provides that the Commissioner may counteract a tax advantage that a person has obtained under the arrangement. Section [GA 1](#) provides more detail as to the Commissioner’s powers with respect to counteracting the tax advantage. These provisions and the relevant definitions are referred to in this chapter as the general anti-avoidance provision.

The basic structure of the general anti avoidance provision stems from reforms made by Parliament in 1974 to what was then s 108 of the Land and Income Tax Act 1954. When the Land and Income Tax Act was replaced by the Income Tax Act 1976 the general anti-avoidance provision was contained in s 99 of that Act. That section therefore contained at the outset all the changes that had been made in 1974. The basic structure of the provision has not changed despite the fact that the provision has been split into definitional parts, whereas previously it had been all contained within the one section. For a more detailed history of the amendments to the general anti-avoidance provision made with the passage of the Income Tax Act 1994, the Income Tax Act 2004 and the IT07, see James Coleman’s *Tax Avoidance Law in New Zealand* (CCH, 2022).

The general anti-avoidance provision can be contrasted with the specific anti-avoidance provisions contained in subparts [GB](#) and [GC](#) of the IT07. The specific anti-avoidance provisions complement specific tax regimes such as the international tax rules or the fringe benefit tax (FBT) regime. These provisions generally apply to non-market transactions and have the effect of recharacterising any arrangement in contravention of those provisions as if it were a transaction which is conducted at arm’s length ([¶33-144](#) and [¶33-146](#)).

The Goods and Services Tax Act 1985 has its own general anti-avoidance provision in s [76](#). The section is drafted along the same lines as ss [BG 1](#) and [GA 1](#): ([¶32-280](#)).

Law: IT07 ss [BG 1](#), [GA 1](#), [YA 1](#) (“arrangement”, “tax avoidance”, “tax avoidance arrangement”)

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The governing approach to tax avoidance [¶33-020]

[¶33-020]

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The governing approach to tax avoidance in New Zealand is the “Parliamentary contemplation test”. This approach requires analysis of the arrangement in question and deciding whether it, when viewed as a whole, makes use of tax provisions in way that is consistent with Parliament’s purpose when it passed the legislation. This approach was set out by the Supreme Court in *Ben Nevis Forestry Ventures Ltd v CIR* (2008) 23 NZTC 21,664.

In any situation where the tax position of a transaction needs to be ascertained, the principal rule is that the tax result is governed by legal consequences of transactions actually entered into and carried out. See *IR Commrs v Duke of Westminster* [1936] AC 1, *C of IR v Europa Oil (NZ) Ltd* [70 ATC 6012](#) at 6,018; [1971] NZLR 641 at 648, *Europa Oil (NZ) Ltd v C of IR (No 2)*; *C of IR v Europa Oil (NZ) Ltd (No 2)* (1976) 2 NZTC 61,066 (PC) at 61,071–61,072; [1976] 1 NZLR 546 at 552, *Finnigan v C of IR* (1995) 17 NZTC 12,170 (CA) at 12,173–12,174, *Marac Finance Ltd v Virtue* [1981] 1 NZLR 586 at 587 and 588 and the cases cited therein, *Marx v C of IR* [1970] NZLR 182 at 213.

The Commissioner, as well as taxpayers, are bound by those contractual rights and obligations unless one of 2 exceptions applies. The first is where the transaction is a sham and the second where a section like the general anti-avoidance provision applies. See *Mills v Dowdall* [1983] NZLR 154 at 159, *A Taxpayer v C of IR* (1997) 18 NZTC 13,350 (CA) at 13,360, *Re Securitibank Ltd (No 2)* [1978] 2 NZLR 136 at 168, *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 (CA) at 61,276; [1978] 2 NZLR 485 at 490, *C of IR v Europa Oil (NZ) Ltd* [70 ATC 6012](#) at 6,018; [1971] NZLR 641 at 647 and 648, *Finnigan v C of IR* (1995) 17 NZTC 12,170 (CA) at 12,173.

Put another way, in contexts other than those involving an allegation of sham or those involving the potential application of the general anti-avoidance provision, the tax outcome is determined by the legal form. Where the sham or avoidance exception applies the tax outcome is determined by a larger range of factors than simply the contractual form.

Interpretation statement, [IS 23/01](#) “Tax Avoidance and the interpretation of the general anti-avoidance provisions sections [BG 1](#) and [GA 1](#) of the Income Tax Act 2007” explains the Commissioner’s view of the law on tax avoidance in New Zealand, together with the accompanying fact sheet, [IS 23/FS 1](#).

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Form contrasted with substance [¶33-040]

[¶33-040]

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The legal rights and obligations created by the contracts establishing the transaction are called the legal form. That can be contrasted with what is called the economic substance of the transaction. The case generally cited as explicitly endorsing the form over substance approach is *IR Commrs v Duke of Westminster* [1936] AC 1.

There are various constructional tools available to assist in identifying the rights and obligations created by a contract. These tools have been developed by the common law and in summary are:

Where the transaction is contained in more than one contract both or all of the contracts can be read together so as to understand the rights and obligations created: *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 at 61,276; [1978] 2 NZLR 485 at 490, *C of IR v Europa Oil (NZ) Ltd* 70 ATC 6012 at 6,019; [1971] NZLR 641 at 649, *Marac Finance Ltd v Virtue* [1981] 1 NZLR 586 at 587.

Regard may be had to the surrounding circumstances to assist in understanding the terms of the contract but not so as to contradict or override the terms of the contract: *Marac Finance Ltd v Virtue* [1981] 1 NZLR 586 at 587, *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 at 61,276; [1978] 2 NZLR 485 at 490.

The courts are not concerned with the motives or intentions of the parties: *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 at 61,276; [1978] 2 NZLR 485 at 490.

The nomenclature or labels used in the contract or contracts are not decisive. What is decisive is the actual character of the rights and obligations actually created by the clauses of the instrument: see *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 at 61,276; [1978] 2 NZLR 485 at 490.

An example of litigation concerning the correct characterisation of the legal rights and obligations, despite their label, can be found in *Accent Management Ltd v C of IR* (2005) 22 NZTC 19,027 (HC) at [133]–[168], overturned by the Court of Appeal in *Accent Management Ltd v C of IR* (2007) 23 NZTC 21,323 (CA) at [78]–[102], *Europa Oil (NZ) Ltd v C of IR (No 2)*; *C of IR v Europa Oil (NZ) Ltd (No 2)* (1976) 2 NZTC 61,066 at 61,072; [1976] 1 NZLR 546 at 553, *Street v Mountford* [1985] 1 AC 814, *Re Securitibank Ltd (No 2)* [1978] 2 NZLR 136 and *Ensign Tankers (Leasing) Ltd v Stokes* [1992] BTC 110; [1992] AC 655.

When trying to ascertain what rights and obligations have been created, the court will use the same approach it would have used when trying a dispute between the parties as to the meaning of their documents: see *C of IR v Renouf Corporation Ltd* (1998) 18 NZTC 13,914 (CA).

Last reviewed on 31 December 2025

Sham — what is it? [¶33-055]

[¶33-055]

[Click to open document in a browser](#)

The seminal statement of what constitutes a sham for legal purposes is set out by Lord Diplock in LJ in *Snook v London & West Riding Investments Ltd* [1967] 2 QB 786 at 802:

I apprehend that, if it [sham] has any meaning in law, it means acts done or documents executed by the parties to the “sham” which are intended by them to give to third parties legal rights and obligations different from the actual rights and obligations (if any) which the parties intend to create. But one thing, I think, is clear in legal principle, morality and the authorities ... that for acts or documents to be a “sham,” with what ever legal consequences follow from this, all the parties thereto must have a common intention that the acts or documents are not to create the legal rights and obligations which they give the appearance of creating.

The statement of principle quoted above has been accepted as authoritative in New Zealand in the following cases: *Paintin and Nottingham Ltd v Miller Gale and Winter* [1971] NZLR 164 at 168 and 175, *Bateman Television Ltd v Coleridge Finance Co Ltd* [1969] NZLR 794, *NZI Bank Ltd v Euro-National Corp Ltd* (1992) 6 NZCLC 67,913 (CA) at 67,925–67,926; [1992] 3 NZLR 528 at 539, *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* (2009) 24 NZTC 23,188 (SC) at [33].

A sham can arise where the documentation from its outset does not record the agreement that the parties actually reached. Secondly, a sham can arise in situations where the documentation did accurately reflect what was agreed but later the parties changed their agreement but left the documentation unaltered and presented to third parties the unaltered documentation as if it still represented their arrangement. An entire contract can be a sham or just a part of it: *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 (CA) at 61,276; [1978] 2 NZLR 485 at 490 per reference to the words “only if and to the extent that they are shams”, *Glenharrow Holdings Ltd v C of IR* (2005) 22 NZTC 19,319 at [112].

There needs to be a common intention to create a sham. See *Snook v London & West Riding Investments Ltd* [1967] 2 QB 786 at 802, *Case U6* (1999) 19 NZTC 9,038, *Accent Management Ltd v C of IR* (2005) 22 NZTC 19,027 (HC) at [222]. In some cases the fact a person was indifferent to the true position and went along with it may be enough evidentially to conclude that one of the parties to the transaction had the necessary intention: *Official Assignee v Wilson* (2008) 2 NZTR ¶18-005 at [38].

If a document is found to be a sham then the court will go on to ascertain what the real intentions of the parties were and those real intentions will be what governs the tax result: see *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271 (CA) at 61,280; [1978] 2 NZLR 485 at 495 and *Julius Harper Ltd (in rec) v FW Hagedorn & Sons Ltd* (1991) 5 NZCLC 66,946 (CA) at 66,954–66,955; [1991] 1 NZLR 530 at 539.

Last reviewed on 31 December 2025

Tax avoidance contrasted with sham [¶33-065]

[¶33-065]

[Click to open document in a browser](#)

It is axiomatic that in the context of tax avoidance the documentation is not a sham. The rights and obligations intended to be created by the contracts accurately reflect the rights and obligations that the parties intend to create: *Elmiger v C of IR* [1966] NZLR 683 (HC) at 685 and upheld on appeal *Elmiger v C of IR* [1967] NZLR 161 (CA), *Marx v C of IR*; *Carlson v C of IR* [1970] NZLR 182 at 190 and *Wisheart v C of IR* [71 ATC 6001](#) at 6,014; [1972] NZLR 319 at 335. These cases explicitly confirm that a general anti-avoidance provision applies when the contracts are not shams. The proposition is implicitly confirmed in *Accent Management Ltd v C of IR* [\(2007\) 23 NZTC 21,323 \(CA\)](#) at [117b], *C of IR v Challenge Corporation Ltd* [\(1986\) 8 NZTC 5,219 \(PC\)](#) at 5,225, *Glenharrow Holdings Ltd v C of IR* [\(2009\) 24 NZTC 23,236 \(SC\)](#) at [33]. The Supreme Court put the point this way in *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* [\(2009\) 24 NZTC 23,188 \(SC\)](#) at [34]:

It is important to keep firmly in mind the difference between sham and avoidance. A sham exists when documents do not reflect the true nature of what the parties have agreed. Avoidance occurs, even though the documents may accurately reflect the transaction which the parties intended to implement, when, for reasons to be discussed more fully below, the arrangement entered into gives a tax advantage which Parliament regards as unacceptable.

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Tax avoidance contrasted with evasion [¶33-075]

[¶33-075]

[Click to open document in a browser](#)

Evasion of tax is a criminal offence, with prison as a potential sentencing option, whether a taxpayer is charged under the TAA or the Crimes Act 1961. The offence requires knowing action with intent to evade. In *C of IR v Challenge Corporation Ltd* (1986) 8 NZTC 5,219 (PC) Lord Templeman said at 5,225:

Evasion occurs when the Commissioner is not informed of all the facts relevant to an assessment of tax. Innocent evasion may lead to a reassessment. Fraudulent evasion may lead to a criminal prosecution as well as re-assessment.

Thus, where there is a statutory obligation to disclose one's income and where the taxpayer deliberately understates their income, that would be evasion and the Commissioner could successfully prosecute. The self-assessment process does not change this. In the case of tax avoidance, the tax return and the tax positions taken are correct in terms of the application of the substantive provisions of the Act, absent the application of the general anti-avoidance provision.

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The 3-step analysis to application of anti-avoidance provision [¶33-085]

[¶33-085]

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There are 3 successive steps to the application of the general anti-avoidance provision. They are:

1. Identify what constitutes the arrangement.
2. Ascertain whether there is a more than merely incidental purpose or effect of tax avoidance as defined.
3. If there is a non-incidental purpose or effect of tax avoidance, consider what adjustments ought to be made to counteract the tax advantages.

This 3-step process has been explicitly endorsed by the Court of Appeal in *C of IR v BNZ Investments Ltd* (2001) 20 NZTC 17,103 (CA) at [42] and [175]. It has largely been endorsed by the Privy Council in *Peterson v C of IR* (2005) 22 NZTC 19,098; [2006] 3 NZLR 433 (PC) at [33]. The 3-step process is also explicitly endorsed in *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* (2009) 24 NZTC 23,188 (SC) at [160]. The practical operation of the 3-step analysis can be seen in action at [115] where the arrangement is mentioned and then the issue of whether the arrangement is a tax avoidance arrangement is introduced. The analysis from [116] to [156] concerns whether there is tax avoidance present. The Supreme Court, having concluded that tax avoidance was present, then dealt with the reconstruction or adjustment issue at [169]–[171]. This 3-step approach is also evident in *Glenharrow Investments Ltd v C of IR* (2009) 24 NZTC 23,236 (SC) at [35].

Most recently the Supreme Court in *Frucor Suntory New Zealand Ltd v Commissioner of Inland Revenue* (2022) 30 NZTC ¶25-024, when discussing the legal framework, commented that the result arrived at in *Ben Nevis* may seem paradoxical. A close analysis of the Parliamentary contemplation test means that the second step in the enquiry is paramount importance for the determination of whether tax avoidance exists ([57] and [58]).

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Tax avoidance — Step 1: Identify the arrangement [¶33-095]

[¶33-095]

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The word “[arrangement](#)” is defined in s [YA 1](#) of the IT07 as meaning:

... an agreement, contract, plan, or understanding, whether enforceable or unenforceable, including all steps and transactions by which it is carried into effect.

The definition extends to agreements that are not legally binding but are binding only in honour: *C of IR v BNZ Investments Ltd* ([2001](#)) 20 NZTC 17,103 (CA) at [45] and [46].

The definition assumes a temporal connection. It assumes that a plan will be thought out and implemented in contrast to a situation where there are a series or sequential events that were not planned or coordinated at the outset but just occurred as a result of developing circumstance: see *AMP Life Ltd v C of IR* ([2000](#)) 19 NZTC 15,940. Thus, the transactions at issue in *Newton v FC of T* (1958) 11 ATD 442; [1958] AC 450 (PC) were described by Lord Denning in the following terms:

The whole complicated series of transactions must have been the result of a concerted plan: and the nature of the plan is to be ascertained by the overt acts done in pursuance of it.

... The whole of the transactions show that there was a concerted action to an end ...

The concept of planning at the outset needs to be qualified in that a situation where the broad steps of an arrangement are put in place at the outset and key decisions made on a yearly basis can still constitute an arrangement. Such a situation has been called an ambulatory arrangement: see *C of IR v Penny and Hooper* ([2010](#)) 24 NZTC 24,287 (CA) at [73]–[78] and *Krukziener v C of IR* ([2010](#)) 24 NZTC 24,563 at [6]–[27].

An arrangement can be both oral and written: see *Ashton v C of IR* ([1975](#)) 2 NZTC 61,030 (PC) at 61,033. The scope of an arrangement is determined objectively: see *Peterson v C of IR* ([2005](#)) 22 NZTC 19,098 (PC) at 19,108–19,109.

The concept of an arrangement is wide enough to cover not just the initial setting up of a transaction but its outworking on a year by year basis: *C of IR v Penny and Hooper* ([2010](#)) 24 NZTC 24,287 (CA) at [70]–[78].

There is some uncertainty as to whether innocence or ignorance of the arrangement stops there being an arrangement: *Peterson v C of IR* ([2005](#)) 22 NZTC 19,098 (PC) suggests that ignorance or innocence is not relevant but the *Ben Nevis* judgment (([2009](#)) 24 NZTC 23,188 (SC)) contains obiter comment at [160] and [161] that may imply that the Supreme Court does not necessarily agree with that aspect of the *Peterson* judgment of the Privy Council. That issue is also commented on by the Court of Appeal in *Russell v C of IR* ([2012](#)) 25 NZTC ¶20-120 (CA) at [49]–[54].

Law: IT07 s [YA 1](#) (“[arrangement](#)”)

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Tax avoidance — Step 2: Is there a purpose or effect of tax avoidance? [¶33-105]

[¶33-105]

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“Tax avoidance arrangement” is defined in s [YA 1](#) of the IT07 as follows:

... an arrangement, whether entered into by the person affected by the arrangement or by another person, that directly or indirectly—

- (a) has tax avoidance as its purpose or effect; or
- (b) has tax avoidance as 1 of its purposes or effects, whether or not any other purpose or effect is referable to ordinary business or family dealings, if the tax avoidance purpose or effect is not merely incidental.

It will be clear from the definition of “tax avoidance arrangement” that tax avoidance can be the only purpose or effect of the arrangement or one of the purposes or effects of the arrangement. Where it is one of the purposes or effects of the arrangement, the tax avoidance purpose or effect must be more than merely incidental ([¶33-115](#)).

The composite phrase “purpose or effect” has been judicially construed as meaning the end in view: see *Newton v FC of T* (1958) 11 ATD 442 at 465. The 2 words do not have independent meanings: see *Ashton v C of IR* ([1975](#)) 2 NZTC 61,030 (PC) at 61,034 and *Glenharrow Holdings Ltd v C of IR* ([2009](#)) 24 NZTC 23,236 (SC) at [38]. They have been said to be tautologous.

Objective test

The motives of the people who enter into the arrangements are irrelevant because the test is objective: *Glenharrow Holdings Ltd v C of IR* ([2009](#)) 24 NZTC 23,236 (SC) at [38], *Accent Management Ltd v C of IR* ([2005](#)) 22 NZTC 19,027 (HC) at [301] and the cases cited therein, *Hadlee and Sydney Bridge Nominees Ltd v C of IR* ([1989](#)) 11 NZTC 6,155 (HC) and referred to with approval in *Hadlee and Sydney Bridge Nominees Ltd v C of IR* ([1991](#)) 13 NZTC 8,116 (CA), *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* ([2009](#)) 24 NZTC 23,188 (SC) at [102]. Some subjective evidence was looked at in *White v C of IR* ([2010](#)) 24 NZTC 24,600 at [52] but only to provide the context in which the arrangement was brought into being.

Tax avoidance defined

The effect of the arrangement must meet the definition of “tax avoidance” as defined. The definition is contained in s [YA 1](#) and is as follows:

... includes—

- (a) directly or indirectly altering the incidence of any income tax:
- (b) directly or indirectly relieving a person from liability to pay income tax or from a potential or prospective liability to future income tax:
- (c) directly or indirectly avoiding, postponing, or reducing any liability to income tax or any potential or prospective liability to future income tax.

This definition is inclusive, not exhaustive. Hence tax avoidance can exist even if the definition is not explicitly complied with: *Miller v C of IR*; *McDougall v C of IR (No 1)* ([1997](#)) 18 NZTC 13,001 at 13,033 and *C of IR v Challenge Corp Ltd* ([1986](#)) 8 NZTC 5,001 (CA) at 5,013.

Specific provisions v anti-avoidance provision

At this point the obvious paradox concerning the application of the general anti-avoidance provision arises. First the definition is exceedingly broad. It will literally catch any transaction that has a beneficial tax effect. For example, it will catch a deduction because that will directly or indirectly reduce the taxpayer's liability to pay tax to the extent of the tax effect of the deduction. Secondly, the arrangement will comply with the particular specific provisions (non-avoidance provisions) of the Act it engages with. This is because an arrangement which produces a deduction would as a matter of legal form have met the requirements for deductibility. Thus, the situation arises whereby a transaction is potentially caught by both the terms of the specific provision and the terms of the general anti-avoidance provision at the same time.

This tension between the fact of compliance with the specific provisions of the Act and with the literal terms of the avoidance provision was dealt with in *Ben Nevis*. The Supreme Court resolved this tension by firstly rejecting the proposition that the general anti-avoidance provision is a paramount provision. Neither the general anti-avoidance provision nor the specific provisions were overriding at [103]. Both provisions had to be given effect to. The tension is resolved by looking at whether the particular provision "on its true construction and application was intended to give the particular transaction the tax benefit claimed", at [97].

The key passages of the Supreme Court judgment in *Ben Nevis* are contained at [103]–[114]. Set out below is a paraphrasing of the key concepts:

- # It is the court's job to apply a principled approach which gives overall effect to the statutory language of both the general anti-avoidance provision and the specific provisions: [102] and [103].
- # The particular arrangement in question must be examined by reference to the particular legislative policies with which it engages: [102].
- # The analysis of the particular arrangement and the legislative policy behind the provisions with which it engages is to be conducted in an objective manner: [102].
- # Neither the specific provision nor the general anti-avoidance provision is given precedence. They are construed so as to work in tandem: [103].
- # Ascertaining when an arrangement uses a specific provision in a manner outside of Parliament's contemplation is to be firmly grounded in the statutory language of the provisions themselves: [104].
- # Previous judicial attempts to articulate how the line is drawn between tax avoidance and acceptable arrangements should not be elevated to the position of statute: [104].
- # The tax avoidance can be found in the individual steps of an arrangement or in a combination of those steps: [105].
- # Generally, a specific provision is designed to give the taxpayer a tax advantage if its use falls within the ordinary meaning of the provision, but that where the use of the particular provision falls outside of the intended scope, that will amount to tax avoidance: [106] and [107].
- # Multiple factors can be considered and balanced when considering whether a tax avoidance arrangement exists: [108] and [109].

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Key issue — Supreme Court's test in *Ben Nevis*

The Supreme Court put the key issue this way at [109] of its *Ben Nevis* judgment:

The ultimate question is whether the impugned arrangement, viewed in a commercially and economically realistic way, makes use of the specific provision in a manner that is consistent with Parliament's purpose.

The Court interchangeably uses the phrases "Parliament's contemplation", "Parliament's purpose" and "Parliament's intention". This language can present as being equivalent to what was previously styled as the "scheme and purpose" analytical framework: see *Penny v C of IR*; *Hooper v C of IR* (2009) 24 NZTC 23,406 (see also *C of IR v Penny and Hooper* (2010) 24 NZTC 24,287 (CA) at [62], where it states that *Ben Nevis* endorsed the scheme and purpose approach but with some important qualifications) and *Case Z19* (2009) 24 NZTC 14,217 at [174]. Notwithstanding this a different view was expressed in *Westpac Banking Corp v*

C of IR (2009) 24 NZTC 23,834 where the Judge said that the Supreme Court in *Ben Nevis* was not simply restating the “scheme and purpose approach”: [174]–[179].

It is suggested that what the Supreme Court means by “Parliamentary contemplation” is very different to what Richardson J had in mind with this “scheme and purpose” formulation, which he used in his judgment in *C of IR v Challenge Corp Ltd* (1986) 8 NZTC 5,001 (CA). What Richardson J had in mind was that if the arrangement met the terms of the specific provision as purposively interpreted, the general anti-avoidance provision cannot have been intended to apply because there would not be avoidance as defined. Conversely the Supreme Court is using the phrase “Parliamentary contemplation” to inform a question, namely, if the arrangement is looked at in a commercially and economically realistic manner, can it be predicated that Parliament intended the specific provision to be used in the manner it is used by that arrangement? This changed focus is confirmed by the Supreme Court decision in *Penny and Hooper v C of IR* (2011) 25 NZTC ¶20-073 (SC). The approach of the Privy Council in *C of IR v Challenge Corp Ltd* (1986) 8 NZTC 5,219 and that of Woodhouse P in the Court of Appeal case gives a more reliable guide to what the Supreme Court is saying in both *Ben Nevis* and *Penny and Hooper* than the judgment of Richardson J.

This also appears to be the view the Commissioner has taken — see the discussion of Richardson J’s scheme and purpose approach at p 113 of interpretation statement [IS 23/01](#), “Tax avoidance and the interpretation of the general anti-avoidance provisions sections [BG 1](#) and [GA 1](#) of the Income Tax Act 2007” ([¶133-137](#)).

Artificial and contrived

In broad terms, the Supreme Court appears to have found that as a matter of law Parliament never intends a specific provision to produce a tax benefit if it does so by being applied to an artificial or contrived transaction: see *Ben Nevis* at [108] and *Penny and Hooper v C of IR* (2011) 25 NZTC ¶20-073 (SC) at [33] and [46]. It is to be observed that there is little judicial discussion as to what artificiality or contrivance mean legally in the New Zealand context. There is helpful discussion as to what is covered by those words in a non-New Zealand context contained in the Privy Council judgment in *Commissioner of Taxpayer Audit and Assessment v Cigarette Co of Jamaica Ltd* [2012] UKPC 9 at [21]–[23]. What is clear from that case is that the concepts sought to be communicated by the words artificial and contrived are not just factual but ultimately legal requiring an evaluative weighing up of both the legal context and commercial and economic reality.

Examples of artificial and contrived situations

There is some limited guidance available from our courts in the sense of examples of situations which have been described as being artificial. For a detailed discussion of what might amount to contrivance or artifice and analogous concepts, see Coleman’s *Tax Avoidance Law in New Zealand* (CCH, 2022). In broad terms the following might constitute artificial or contrived situations:

- # arrangements with no business purpose
- # arrangements with circular flows of money and self-cancelling obligations
- # arrangements where the investor has no risk associated with the investments
- # arrangements between related parties, or tax asymmetrical parties, at uncommercial prices or terms
- # use of tax provisions intended to provide relief in relation to a particular economic burden (such as an interest expense), where such a burden has not, in economic substance, been suffered, and the arrangement has artificially re-characterised a capital payment as deductible.

A further example of a transaction that has been held to be artificial is the issuance of an optional convertible note to a 100% owned subsidiary: see *Alesco New Zealand Ltd v C of IR* (2013) 26 NZTC ¶21-003 at [112]–[114]. An optional convertible note enables the holder to either have their principal repaid or to have the notes converted into shares. If the holder already owns 100% of the shares in a subsidiary, the ability to have the notes convert into shares is worthless and purposeless as the ability to have the parent company issue more shares was completely in the control of the company and did not require the optional convertible notes to be achieved.

For a short period, there was a contrasting decision in the decision of the High Court in *Frucor Suntory New Zealand Ltd v C of IR* (2018) 28 NZTC ¶23-078, where the Court held that shares do have value in a wholly-owned group. In that case it was held the transaction involving convertible notes involved real money flows and did not cross the line between permissible arrangement and tax avoidance arrangement. The Court took the view that debt capitalisations within a wholly-owned group both involved an economic cost and fell within Parliamentary contemplation. However, the Court of Appeal later overturned the decision in *C of IR v Frucor Suntory New Zealand Ltd* [2020] NZCA 383; (2020) 29 NZTC ¶24-075. In the Court of Appeal's opinion, the funding arrangement came within the Supreme Court's formulation in *Ben Nevis* as one enabling the taxpayer to gain the benefit of the specific provision in an artificial and contrived way. The transaction was in many respects artificial, and it was clearly contrived for the very purpose of enabling Frucor to gain the benefit of the specific provision allowing interest deductions.

The Supreme Court majority in *Frucor Suntory New Zealand v C of IR* (2022) 30 NZTC ¶25-024 agreed with the Court of Appeal on how the facts should be viewed. The Supreme Court interpreted the arrangement to be a loan to the taxpayer that was designed to resemble a share subscription through OCNs. This allowed deductions of both principal and interest. The court stated at [138]:

"The most favourable way of looking at this aspect of the case from the point of view of Frucor Suntory is that the dominant purpose of the arrangement was to reduce the tax liabilities of DHNZ in New Zealand without Danone group incurring counter-balancing liabilities elsewhere (and particularly in Singapore). We see such a compound purpose as engaging s 141D."

The majority found the arrangement, seen in its entirety, as contrived, artificial and financially circular. They concluded that the convertible note had no other purpose other than tax avoidance.

There was a strong dissenting judgment in the Supreme Court ruling from Glazebrook J. Her Honour held that the arrangement entered into by the taxpayer was not tax avoidance. In relation to the Parliamentary contemplation test set out in *Ben Nevis*, she stressed the importance of asking whether the taxpayer's transaction frustrated the object, spirit and purpose of the legislative provisions upon which the taxpayer relied ([163]). Glazebrook J accepted that in economic terms the offshore bank had provided only \$55 million in funding and that the balance of \$149 million was provided by way of convertible note. Her Honour set out the following points in this regard:

- # The IT07 allows companies a deduction for interest, subject to limited exceptions (none of which applied in the instant case).
- # Borrowing to invest in business assets, including shares, fitted within the rationale for the interest deductibility provisions.
- # Each taxpayer, even if within a wholly-owned group, should be treated separately for tax purposes, and it made no difference for interest deduction purposes that funds advanced to the taxpayer came from a related party.
- # Corporate groups could choose between debt and equity funding, even when a lender was a related party.
- # No tax avoidance would have occurred had the parent company lent the required funds directly to the taxpayer and deductions been taken for interest paid.
- # The taxpayer's transactions did not offend specific anti-avoidance rules for transfer pricing and thin capitalisation. The fact they did not do so pointed to the arrangement not being in breach of Parliament's intentions.

See also ¶6-218 for a broad discussion on convertible notes.

Practical examples of what has been held to amount to an artificial or contrived situation are the payment of a dramatically below market salary by a company employing an orthopaedic surgeon: *C of IR v Penny and Hooper* (2010) 24 NZTC 24,287 (CA) at [110]–[122], *Penny and Hooper v C of IR* (2011) 25 NZTC ¶20-073 (SC) and a taxpayer living off loans over an extended period rather than being paid a salary: *Krukziener v C of IR* (No 3) (2010) 24 NZTC 24,563.

An example of a situation which was held not to be artificial or contrived was a doctor being employed by a company involved in an orchard enterprise in circumstances where no salary could consequently be paid to the doctor: *White v C of IR* (2010) 24 NZTC 24,600.

The unlimited transfer of losses through the mechanism of the Russell agency and management agreements were held to be artificial and contrived. This was because they had the effect of eroding the tax base by bypassing the grouping rules: *Russell v C of IR* (2012) 25 NZTC ¶20-120 (CA) at [60].

The Commissioner's view of artificiality and contrivance is discussed at Part 7 of [IS 23/01](#).

Parliamentary contemplation

Beyond the high points of artifice and contrivance, what is within Parliament's contemplation can be discerned using the ordinary tools of statutory construction. Thus, it is discerned from the text of the provision, the regime in which it operates, any explicit purpose provisions in the Act, commentary from officials when the relevant Bill was introduced, academic articles and case law summaries. The Supreme Court's reasoning in *Glenharrow Holdings Ltd v C of IR* (2009) 24 NZTC 23,236 (SC) at [40]–[47] provides a useful indication of what sources are relevant to the inquiry and also how to conduct the analysis. The analysis at this point is looking for broad themes or assumptions as to how the specific provision is intended to operate. (Greater depth on this aspect can be found in Coleman's *Tax Avoidance Law in New Zealand* (CCH, 2022).) See too the statutory analysis of Heath J in the High Court decision in *Alesco New Zealand Ltd v C of IR* (2011) 25 NZTC ¶20-099 at [94]–[105] and then the conclusions at [146]–[148], and the discussion of the Commissioner's view on applying the parliamentary contemplation test in Part 6 of [IS 23/01](#).

Broader factors to consider

Having identified the implicit and explicit criteria of the section one looks to see if those criteria are met on the facts. What constitutes the facts here is the broader set of factors listed in [108] of *Ben Nevis*. Those factors are broader than simply the legal rights and obligations contractually created, which is effectively the only input data when applying the tax provisions in a black letter stand-alone sense. This is the key conceptual difference between the application of the general tax avoidance provision and the normal approach outlined above.

Using this approach, one looks at all the factors listed in [108] of *Ben Nevis* and if as a consequence it can be seen that the tax benefit has been generated outside of the implicit and explicit purview of the specific provision then there will be tax avoidance present. The *Ben Nevis* case provides a useful illustration of the analytical process in operation.

Example:

One aspect of the arrangement in the *Ben Nevis* case was the licence premium. The licence premium was paid for a right to enter the land for the ensuing 48 years and establish a forest on the land. Because the payment was for a right to use land, it represented a capital cost that could be depreciated. The liability to pay the licence premium was discharged by the taxpayers issuing and delivering promissory notes. The notes would be met in cash in year 48 from harvest proceeds if enough proceeds existed at that time. The licence premium represented the cost of the right to use the land.

The taxpayers sought to persuade the Court that the licence premium expenditure was "incurred" when the promissory notes were executed: [117]. This was part of demonstrating that the licence premium was the relevant cost for depreciation purposes. In terms of formal legal analysis, the wording of the deduction section and the case law surrounding it, the licence premium expense had been "incurred" and this was noted by the Court: see [118] and [119]. The general deduction provisions and depreciation provisions implicitly intend that the taxpayer is genuinely in business to make a profit and that the expenditure (or contractual obligation) will actually be discharged. With respect to each of these aspects the Court considered that the facts meant that those requirements in respect of the licence premium were not satisfied. On the evidence, it had been established that it was largely irrelevant to the taxpayers whether those liabilities would ever be discharged.

The courts at all levels did not accept that there was any genuine prospect that the obligations would be met, or any need for them to be. Thus at [120] the court majority concluded that there was a strong evidential basis for concluding that the Trinity scheme would never be profitable, so the notes would be able to be discharged. While the expenditure had been legally "incurred", because of the 48-year mismatch between the point it was incurred and the point in time at which it had to be paid in cash from harvest proceeds, there was no cost in an economic sense. This distortion in timing is described by the Court at [130] as being inconsistent with the purpose of the provisions for depreciation based deductions.

The contingencies associated with actual payment from the net stumpage are described as "outside of the scope of the provision allowing for a deduction for depreciable property". That provision permits depreciation for the cost of, for example, the licence premium. In short, the Supreme Court majority held, applying s [BG 1](#) of the Income Tax Act 1994, that a 48-year promissory note

which was (on all of the evidence) not likely ever to be satisfied in cash, did not meet the meaning of “cost” for the purposes of the depreciation regime.

Similarly with respect to the insurance premiums: these were described as not being within the contemplation of Parliament when it enacted s [DL 1\(3\)](#) of the Income Tax Act 1994. This was because it was not truly paid or incurred in a real economic sense, largely for the same reasons affecting the licence premium. The need for the expenditure to be really incurred in an economic or commercial sense was implicitly contemplated by Parliament.

This example (reproduced with permission) of the application of the *Ben Nevis* principles to the *Ben Nevis* facts is a paraphrasing from James Coleman’s article from the September 2009 New Zealand Law Society Tax Conference entitled *Tax avoidance following Trinity and Glenharrow*.

It can be seen that the factors the Supreme Court listed in [108] of the *Ben Nevis* judgment were the type of factors that the Court took account of later in its judgment when deciding if the purpose of the relevant specific provisions were met. Those factors are broader than the factors that could be permissively considered in a non-avoidance context.

Juristic treatment v commercial reality

The reasoning of the Supreme Court majority in *Ben Nevis* could be summarised by the general proposition that tax avoidance will be present when there is a clash between the juristic treatment of the arrangement and the commercial reality of the arrangement. To illustrate, in juristic terms the requirements for depreciation and deductibility were met in the *Ben Nevis* case but in commercial terms the implicit requirements of the specific provisions were not.

The *Ben Nevis* case is an example of a tax avoidance arrangement that sought to come within the terms of a specific tax provision to obtain a tax benefit. Some arrangements conversely seek to fall outside of the terms of a specific provision in order to obtain a tax benefit. In those situations, contextual changes need to be made to the *Ben Nevis* test such that the dichotomy would be that, while in juristic terms the arrangement does not comply with the terms of the charging provision, when the arrangement is analysed in terms of its commercial or economic reality, it does fall within the charge to tax.

Other examples are *Vinelight Nominees Ltd v C of IR* (2012) 25 NZTC ¶20-155 at [124]–[128]. There the High Court Judge endorsed the TRA’s description of the purpose of the AIL regime at [316] of the TRA decision. The High Court Judge then articulated why the arrangement was outside of the parliamentary purpose of s [NG 2\(1\)\(b\)\(i\)](#) in the following terms. The Court held it was because:

- # There was no new loan from the existing party to the counterparty: [125].
- # The existing party had not demanded interest on the loan: [126].
- # The arrangement assumed that the trust would be in receipt of income and it was not: [127].
- # The purpose of the arrangement was to ensure that a party would not pay income tax on income it received and paid to the counterparty: [128].

Law: IT07 s [YA 1](#) (“[tax avoidance](#)”, “[tax avoidance arrangement](#)”)

Last reviewed on 31 December 2025

Tax avoidance — The merely incidental exception [¶33-115]

[¶33-115]

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The discussion in ¶33-105 concerns how a conclusion is arrived at as to whether an arrangement has a tax avoidance purpose or effect. If the arrangement does have a tax avoidance purpose or effect, a second separate question arises. The merely incidental exception is only relevant where one or more of the purposes or effects of the arrangement is referable to ordinary business or family dealing. Where there is a tax avoidance purpose or effect present and the arrangement also has a purpose or effect that is referable to ordinary business or family dealing, it is necessary to ascertain whether the tax avoidance purpose or effect is more than merely incidental to the arrangement.

Classic statement on merely incidental exception

The “locus classicus” statement of what is meant by the “merely incidental” exception is contained in the judgment of Woodhouse P in *C of IR v Challenge Corp Ltd* (1986) 8 NZTC 5,001 (CA) where he said at 5,006:

Against those considerations I think the bracketed words of sec 99(2)(b) have an important place as pointers to the intended scope of the section as a whole. The opening words of subsec (2) make every arrangement void as against the Commissioner where—

“(b)... it has 2 or more purposes or effects, one of its purpose or effects (not being a merely incidental purpose or effect) is tax avoidance, whether or not any other or others of its purpose or effects relate to, or are referable to, ordinary business or family dealings,—”.

Clearly enough para (b) is designed to catch an arrangement whenever it has a tax avoidance purpose (or effect) even if it has another and real purpose which is not tax avoidance. But the bracketed words enable a “merely incidental” tax avoidance purpose to be disregarded. So the meaning of that qualifying phrase is all important. Does it have the rather exiguous meaning and effect of excusing only “the causal” or “the minor” or “the inconsequential” tax avoidance purposes? If so, many “ordinary” dealings would probably be caught by sec 99 because inevitably the associated tax purpose could seem stronger than that. And the problem would be magnified if as well the assessment had to include estimates of the taxpayer’s motives. However, I do not think the phrase “merely incidental” does have such a limited effect and in accord with *Newton v C of T* [1958] AC 450 I am satisfied as well that the issue as to whether or not a tax savings purpose or effect is “merely incidental” to another purpose is something to be decided not subjectively but objectively by reference to the arrangement itself.

As a matter of construction I think the phrase “merely incidental purpose or effect” in the context of sec 99 points to something which is necessarily linked and without contrivance to some or other purpose or effect so that it can be regarded as a natural concomitant.

Factors to determine whether tax avoidance a natural concomitant

Woodhouse P went on to describe how one was to discern whether the tax avoidance was a natural concomitant or not. He considered that a number of factors were relevant. They included the degree of economic reality associated with the arrangement, the degree of artificiality or contrivance and the extent to which the arrangement seeks to exploit the statute in direct pursuit of tax advantages. There is currently an element of uncertainty as to whether the Woodhouse P test remains the law. The merely incidental exception was not at issue in *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* (2009) 24 NZTC 23,188 (SC) but there is an obiter comment made by the Supreme Court majority at [114] where the Court says:

It will rarely be the case that the use of a specific provision in a manner which is outside Parliamentary contemplation could result in the tax avoidance purpose or effect of the arrangement being merely incidental.

Despite the problems inherent in a repeated analysis looking at the same factors, it is now likely that the Woodhouse P formulation is still the law with respect to the application of the merely incidental exception — see *Westpac Banking Corp v C of IR* (2009) 24 NZTC 23,834, which largely accepted that the Woodhouse P formulation of the merely incidental test was still good law: [202]–[212].

Other approaches to merely incidental test

There are also 2 other ways to approach the merely incidental test. The first is to retain the approach of first seeing if there is a tax avoidance purpose or effect, and then to weigh up whether the non-tax avoidance purpose or effect is merely incidental by reference to the relative size of the tax benefit. In this regard the merely incidental exception has been analysed by a court in terms of the monetary extent of the tax benefit in the past. Thus in *Hadlee and Sydney Bridge Nominees Ltd v C of IR* (1989) 11 NZTC 6,155 Eichelbaum CJ said at 6,175:

In my opinion the purpose and effect of the arrangement was tax avoidance. Even if it were possible to regard that as one purpose and effect only (the other being to enable the objector's dependants to accumulate assets which would be secure from the risk of claims against the partnership) I cannot view it as "merely incidental". The potential tax benefits were too significant and obvious. I agree with the submission on behalf of the Commissioner, that it would require a considerable degree of naivety to conclude that they played merely an incidental part in the scheme.

The second approach is to interpret the para (b) limb of the definition of "tax avoidance arrangement" in s [YA 1](#) as a composite whole and make a judgment as to whether there is a more than merely incidental purpose or effect of tax avoidance in one step. The advantage of such an approach is the elimination of the somewhat redundant exercise of repeating the same inquiry twice, which is implicit if one uses the approach in *Ben Nevis* at [108] and [109] to find tax avoidance and then the Woodhouse P approach to determine whether that avoidance purpose is more than merely incidental. Despite the savings in terms of eliminating conceptual repetition, this last approach has not been explicitly argued before or endorsed by a court.

The Commissioner's view of the merely incidental test is discussed at para 1.53 to 1.59 of interpretation statement [IS 23/01](#) ([¶133-137](#)).

Law: IT07 s [YA 1](#)

Last reviewed on 31 December 2025

Tax avoidance — Step 3: Counteracting the tax advantage [¶33-125]

[¶33-125]

[Click to open document in a browser](#)

The application of s [GA 1](#) of the IT07 is the third step of the 3-step analysis referred to in [¶33-085](#). The conceptual justification for the existence of the Commissioner's power to made adjustments is that the arrangement in question is void as against the Commissioner. This links back to s [BG 1\(2\)](#) ([¶33-010](#)).

Tax advantage

Section [GA 1](#) provides the Commissioner with power to adjust the taxable income of a person affected by the arrangement in a way the Commissioner thinks is appropriate in order to counteract a tax advantage obtained from or under the arrangement. The phrase “tax advantage” is not meaningfully defined in the Act for the majority of situations to which s [GA 1](#) will be relevant. Hence the case law is strongly influential as to what the phrase means. Following *Ben Nevis Forestry Ventures Ltd v C of IR; Accent Management Ltd v C of IR* ([2009](#) 24 NZTC 23,188 (SC)) there appears to be a basis for concluding that there is a conceptual link between the concept of a tax advantage and the manner in which the tax benefit is obtained outside of the contemplation of Parliament. In *Ben Nevis* the licence premium and the insurance premium were found to have produced tax benefits outside of the contemplation of Parliament. It was those items of deduction that were disallowed in their entirety: see [¶33-105](#) and *Ben Nevis* at [169]–[171].

It has been suggested that, had the Commissioner sought to, say, tax the exempt income otherwise receivable by the charity used in the Trinity scheme, that could have been successfully resisted on the grounds that it was not a tax advantage. It would not have been a tax advantage because the charity was not used in the Trinity scheme in a manner inconsistent with the contemplation of Parliament.

Power of adjustment exercised against anyone benefiting

The Commissioner's power of adjustment can be exercised against anyone benefiting from the tax avoidance arrangement. There is no question of mutuality being needed nor does the taxpayer need to be aware that they are benefiting from or under a tax avoidance arrangement: see *Ben Nevis* at [164].

No requirement for counterfactuals

The Commissioner may consider counterfactuals, however Commissioner is not obligated to conjure up counterfactuals as the putative alternative arrangement that the taxpayer may have entered into: see *Accent Management Ltd v C of IR* ([2007](#) 23 NZTC 21,323 (CA)) at [155] and *Ben Nevis* at [170].

It is permissible for a taxpayer to advance evidence and argument to prove what would have happened, or would in all likelihood have happened or might have been expected to have happened. That evidence may enable a submission that the adjustment under s [GA 1](#) is wrong by being too excessive: see *Ben Nevis* at [171]. The taxpayer has the onus of proving that the adjustment is wrong and by how much.

Tax advantages may occur at multiple points in an arrangement. The Commissioner can select which ones they will counteract. The Commissioner's choice in this matter cannot be set aside as long as they are using a consistent hypothesis: see *O'Neil v C of IR* ([2001](#) 20 NZTC 17,051 (PC)) at [31].

Not always necessary to reconstruct

Where the avoidance focuses on an impermissible deduction then it is possible for the Commissioner to simply invoke s [BG 1](#), which will void the arrangement and hence the basis for the deduction. There is no need for the Commissioner to go on and reconstruct under s [GA 1](#). Where the Commissioner

does reconstruct under s [GA 1](#) they do not have to substitute the next most favourable tax option as the counterfactual. See *Alesco New Zealand Ltd v C of IR* (2011) 25 NZTC ¶20-099 (HC) at [154]–[160]; (2013) 26 NZTC ¶21-003 (CA) at [119]–[126]. This is particularly so when the avoidance is in claiming deductions in a situation where there is no underlying economic costs. In those circumstances it is not open to argue that as an alternative the taxpayer would have incurred an actual interest cost which would have produced greater deductions than the artificial “interest” costs claimed but disallowed under s [BG 1](#). That is, a taxpayer cannot say that in the alternative they would have actually paid interest and hence no reconstruction would take place.

Power to adjust lost once challenge filed

Once a challenge has been filed, the Commissioner loses their power to reconstruct under s [GA 1](#). Under s [138P](#) of the TAA the hearing authority may, on hearing a challenge, make an assessment which the Commissioner was able to make at the time the Commissioner made the assessment to which the challenge relates. It would be clearly inconsistent with the parliamentary intention implicit in s [138G](#) of the TAA, which contains the exclusion rule as a consequence of exchanging statements of position, for the court to make an alternative reconstruction when statements of position have been exchanged. This is because the point at which the Commissioner makes the assessment in the context of exchanges of statements of position is after the adjudication unit has looked at the matter. At that point the statements of position are in place and the Commissioner is not in a position to assess contrary to their terms without re-engaging in the disputes process.

It has been held that, when considering the Commissioner’s adjustment, the evidence available to them when they made the assessment is relevant: *Westpac Banking Corp v C of IR* (2009) 24 NZTC 23,834 at [626]–[629]. It is doubted that that statement is correct because it clashes with the principle that, absent the effect of the evidence exclusion rule, a taxpayer can prove based on admissible evidence that an assessment of the Commissioner is wrong or excessive. The challenge hearing is not a review of the Commissioner’s decision-making.

The Commissioner also has a power of adjustment (under s [GA 2](#)) specific to arrangements altering the incidence of FBT ([¶21-130](#)).

The Commissioner’s view of the adjustments that may be made under s [GA 1](#) is discussed in Part 9 of interpretation statement [IS 23/01](#): ([¶133-137](#)).

Law: IT07 s [GA 1](#); TAA ss [138G](#), [138P](#)

Last reviewed on 31 December 2025

Tax avoidance — A practical guide [¶33-135]

[¶33-135]

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The following is an attempt to provide some practical assistance for the practitioner faced with the need to make decisions on a day-to-day basis as to the implications under the general anti-avoidance provision of transactions actual or proposed. While there will never be any substitute for a complete and exhaustive analysis of the existing case law, many difficult situations can often be avoided at an early stage and/or the areas of risk identified and possibly limited by following the checklist below:

- # be rigorous in examining the facts
- # identify all the steps or parts of the arrangement
- # identify all the tax provisions being relied on in the arrangement
- # analyse the consequences of the general anti-avoidance (or other specific anti-avoidance) provision applying
- # determine whether the leading cases cover the point or are analogous
- # determine whether the transaction is unique or whether it is of a type that is occurring routinely in commercial transactions
- # determine whether the key driver is commercial business objectives or derivation of tax benefits
- # if the transaction has a genuine commercial objective, albeit with some tax considerations, consider whether it is appropriate to seek a private binding ruling, and
- # consider the reconstruction provisions, to ascertain which parties would surrender the tax advantages gained from the transaction, should the transaction be considered to amount to tax avoidance.

Also, one should pay particular attention to the guidelines issued by the Supreme Court in *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* (2009) 24 NZTC 23,188 (SC) and *Frucor Suntory New Zealand Ltd v Commissioner of Inland Revenue* (2022) 30 NZTC ¶25-024. See ¶33-105.

Revenue Alerts

The Commissioner has released a number of Revenue Alerts highlighting concerns about various arrangements, for example, Liechtenstein-based tax haven arrangements, tax minimisation schemes, the diversion of personal services income, and employee vouchers. Some applicable Revenue Alerts released are:

- # [Revenue Alert RA 18/01](#), which highlights concerns with certain dividend stripping arrangements, (¶33-175).
- # Revenue Alert RA 21/01, “[Diverting personal services income by structuring revenue earning activities through a related entity such as a trading trust or a company: the circumstances when Inland Revenue will consider this arrangement is tax avoidance](#)”, which sets out the circumstances when Inland Revenue (IR) will consider an arrangement to be tax avoidance when personal services income is diverted through the use of a company or trading trust. This Revenue Alert was issued just before the increase in the top marginal rate which would result in a 6% differential between the top personal tax rate for taxpayers who earn over \$180,000 pa and the trust tax rate, or a difference of 11% between the top personal tax rate and the company tax rate (¶33-325).
- # Revenue Alert [RA 13/01](#) covers salary packaging, or reducing income from employment, by replacing part of salary or wages with vouchers.

Previously, when there was a large gap between the top marginal tax rate and the corporate (or trustee) tax rate, arrangements were entered into by some employers where an employee selected an amount of salary or wage that was substituted for vouchers (like, supermarket or petrol vouchers) which are very similar to the cash equivalent of the salary or wage. A “voucher” in this context may take many forms, including paper vouchers, digital vouchers and electronic vouchers on stored value cards.

Under this “repackaging” or structuring arrangement, the vouchers are not being treated as income of the employee and no PAYE is deducted by the employer. The employee's income is treated as being reduced by the amount of the salary substituted with vouchers. As well as paying less income tax, employees who seek to reduce their income in this way pay less child support; decrease their student loan repayment obligation; reduce their KiwiSaver contributions and may claim a larger entitlement to Working for Families Tax Credit than they should. In addition, repackaging in this way has the effect of reducing the contribution that their employer is required to make to the employee's KiwiSaver scheme.

The Revenue Alert warns that IR considers these arrangements to be tax avoidance. While [RA 13/01](#) was issued in 2013, with the increase in the top marginal tax rate from the 2021–22 income year, there is a risk that employers and employees could be looking to implement such arrangements. IR's position would remain unchanged and such arrangements would be considered tax avoidance arrangements.

In addition, after the decision in *Frucor*, IR released an updated interpretation statement on their approach to the application of s [BG 1](#) ([¶133-137](#)).

Law: IT07 ss [BG 1](#), [GA 1](#)

Last reviewed on 31 December 2025

Commissioner's statements on tax avoidance [¶33-137]

[¶33-137]

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IS 23/01

Interpretation statement [IS 23/01](#), "Tax avoidance and the interpretation of the general anti-avoidance provisions sections [BG 1](#) and [GA 1](#) of the Income Tax Act 2007" replaces [IS 13/01](#), "Tax avoidance and the interpretation of sections [BG 1](#) and [GA 1](#) of the Income Tax Act 2007". It outlines the Commissioner's view of the law on tax avoidance in New Zealand and sets out the approach the Commissioner will take to ss [BG 1](#) and [GA 1](#). The interpretation statement is accompanied by an information sheet, [IS 23/01 FS 1](#). The statement differs from [IS 13/01](#) in that the Commissioner has shifted the emphasis when analysing arrangements.

The statement emphasises that the focus when applying s [BG 1](#) is on answering the "ultimate question" posed by the Supreme Court in *Ben Nevis Forestry Ventures Ltd v CIR* ([2009](#)) 24 NZTC 23,188 when it set out the Parliamentary contemplation test. The ultimate question is whether the arrangement, viewed in a commercially and economically realistic way, uses or circumvents the specific provisions in a manner that is consistent with Parliament's purpose.

Answering this question requires viewing the arrangement as a whole in a commercially and economically realistic way, using the factors the courts have found relevant. Whereas the previous statement ([IS 13/01](#)) gave significant emphasis to identifying whether there is a mismatch of facts, features and attributes between what Parliament would have contemplated and those that appear in the arrangement in economic substance, [IS 23/01](#) shifts the emphasis to considering the presence of artificiality or contrivance. The Commissioner has also taken the opportunity to clarify the relevance of economic equivalence, and of counterfactuals, in the context of applying s [BG 1](#).

In brief summary, the interpretation statement provides:

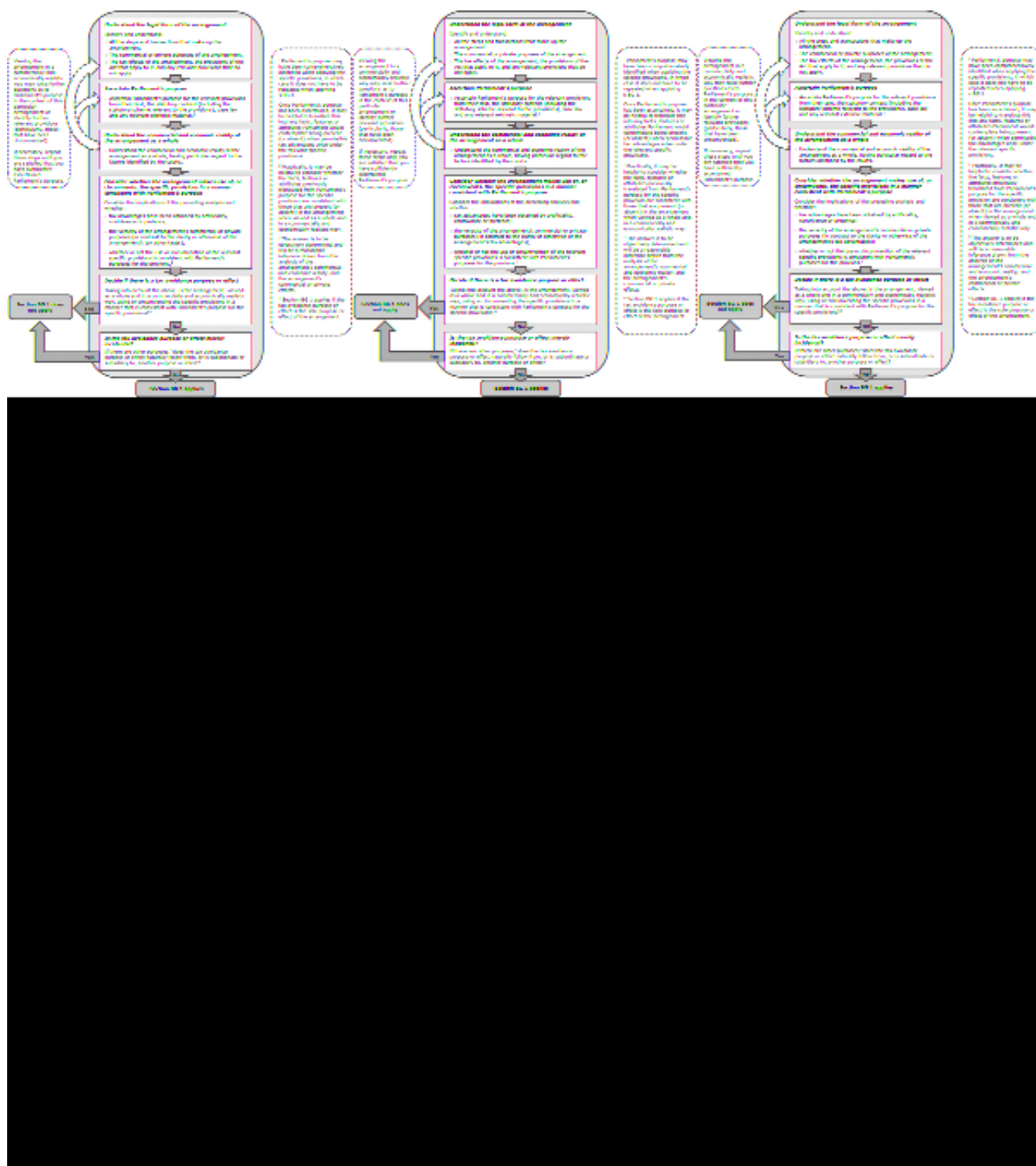
- # s [BG 1](#) is only considered after determining whether and how other specific provisions apply
- # the inquiry under s [BG 1](#) considers whether the use of the Act is within Parliament's contemplation when viewed in light of the whole arrangement
- # s [BG 1](#) applies to arrangements that use or circumvent specific provisions
- # it is important to fully understand the arrangement, taking into account all pertinent facts and information relating to it. This includes understanding the commercial, private and other (including tax) objectives of the arrangement
- # the parliamentary contemplation test asks whether the arrangement, viewed in a commercially and economically realistic way, makes use of the Act in a manner that is consistent with what Parliament would have intended for the provisions that apply (or do not apply) to the arrangement. Applying this test involves identifying:
 - # Parliament's purpose regarding the relevant provisions, and
 - # the commercial reality and economic effects of the arrangement
 - # Parliament's purpose for provisions is the result Parliament intended to achieve, or the end Parliament had in mind. It is Parliament's purpose at the time it enacted the provisions that is relevant. The test is not to discern whether Parliament contemplated the actual arrangement with all its steps and transactions; rather, the question is a hypothetical one
 - # identification of the commercial reality and economic effects is not limited by the form of the arrangement, nor does it involve identifying an arrangement that is economically equivalent. Understanding what is actually achieved requires a complete understanding of the facts and a thorough grasp of the detail and workings of the arrangement as a whole
 - # the arrangement is examined to see whether the facts, features and attributes required to give effect to Parliament's purpose for the provisions in question are in fact present (or absent)

determining whether a tax avoidance arrangement exists involves considering various factors, including the:

- # manner in which the arrangement is carried out
- # role of all relevant parties and their relationships
- # economic and commercial effect of documents and transactions
- # duration of the arrangement
- # nature and extent of the financial consequences
- # presence of artificiality or contrivance
- # presence of pretence
- # presence of circularity
- # presence of inflated expenditure or reduced levels of income
- # undertaking of real risks by the parties
- # relevance of an arrangement being pre-tax negative
- # even though an arrangement has a tax avoidance purpose or effect, it will not be a tax avoidance arrangement if the tax avoidance purpose is merely incidental to a non-tax avoidance purpose
- # a merely incidental tax avoidance purpose or effect is something which follows from or is necessarily and concomitantly linked to, without contrivance, some other purpose or effect
- # when the voiding of an arrangement under s [BG 1](#) appropriately counteracts the tax advantages, and does no more than that, then the Commissioner will not be required to apply s [GA 1](#)
- # the Commissioner has a broad discretion as to the adjustments that can be made to counteract the tax advantage and may adjust the taxable income of any person affected by the arrangement.

The statement includes a flow chart illustrating the steps the Commissioner considers should be taken when analysing whether s [BG 1](#) applies to an arrangement:

Flow chart 1: An approach to the tax avoidance enquiry



Reproduced from *Tax Information Bulletin* ¶1352-106 Vol 35, No 2, March 2023.

In summary, [IS 23/01](#) sets out the following as the approach to applying s [BG 1](#):

- # Applying s [BG 1](#) requires reaching a reasonable conclusion from:
- # the established facts
- # the arrangement's effects, and
- # Parliament's purpose for the specific provisions.
- # The conclusion on whether s [BG 1](#) applies must be one that is:

- # open on the evidence and on the facts established from the evidence
- # logical and cogent (ie convincing)
- # not mere speculation, and
- # not an intuitive subjective impression.

In the statement, the Commissioner suggests that a useful approach to applying s [BG 1](#) includes:

- # understanding the legal form of the arrangement (its steps, transactions and tax effects)
- # identifying Parliament's purpose for the specific provisions that are used or circumvented by the arrangement
- # viewing the arrangement as a whole in a commercially and economically realistic way, including considering any non-tax avoidance purposes or effects, and
- # answering the ultimate question of whether the arrangement, viewed in a commercially and economically realistic way, uses or circumvents the specific provision in a manner that is consistent with Parliament's purpose.

Answering the ultimate question requires considering whether there are any elements in the arrangement from which it can be inferred that Parliament would not have contemplated the gaining of the tax advantages in the particular circumstances. This requires viewing the arrangement as a whole and in a commercially and economically realistic way. Considering the factors referred to by the courts assists in answering the ultimate question.

This also includes considering the particularly significant factor of whether the tax advantages have been obtained by way of artificiality or contrivance. The Supreme Court in *Ben Nevis* stated that the structuring of an arrangement so that a taxpayer gains the benefit of the specific provision in an artificial or contrived way is outside Parliament's contemplation. Therefore, it can assist to specifically consider whether, objectively determined, the arrangement has been structured so that a tax advantage is obtained by artificiality or contrivance.

Whether or not artificiality or contrivance is present, the Commissioner also considers that in some cases it can be useful to consider whether there are any facts, features or attributes that Parliament would contemplate being present (or absent) when permissible tax advantages arise under the specific provision. If such facts, features or attributes can be identified, they could be compared with the facts, features or attributes that are present (or absent) in the arrangement when viewed as a whole and in a commercially and economically realistic way.

Consistent with the previous statement, [IS 13/01](#), arrangements are likely to be outside of Parliament's purpose for specific provisions where:

- # the arrangement has no commercial or private purpose
- # a step in the arrangement has no commercial or private purpose and the step uses or circumvents the specific provision
- # the arrangement (or a step) has a commercial purpose, but that purpose has no commercial rationale or viability independent of the tax advantage, or
- # the arrangement (or a step) is structured in a manner such that the commercial or private purposes are dependent on a tax advantage being achieved.

If tax avoidance is not the sole purpose of an arrangement, consideration will need to be given to whether the tax avoidance purpose or effect is merely incidental. Applying the merely incidental test involves considering:

- # the relationship between the tax avoidance purpose or effect of the arrangement and other purposes or effects of the arrangement; and
- # whether the tax avoidance purpose or effect follows as a natural incident of another purpose.

The merely incidental test involves the consideration of many of the same factors that are considered under the Parliamentary contemplation test. A conclusion under the Parliamentary contemplation test that an arrangement has a tax avoidance purpose or effect means it is very unlikely that the arrangement's tax avoidance purpose will be merely incidental.

Counteracting the tax advantage

Interpretation statement, [IS 23/01](#), also covers the Commissioner's application of s [GA 1](#). While s [BG 1](#) gives the Commissioner the authority to void the arrangement if tax avoidance is present, it does not appropriately counteract the tax advantage arising from that arrangement. Section [GA 1](#) gives the Commissioner a broad, flexible discretion on how to make the adjustments required to counteract the tax advantage.

In summary, IR is considered to be empowered to:

- # negate any tax advantage that has not been counteracted by voiding the arrangement, including making adjustments, and
- # reinstate permissible tax outcomes voided by s [BG 1](#).

A flow chart setting out the steps the Commissioner considers should be taken in applying s [GA 1](#) is included in [IS 23/01](#):

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QB 18/08

Question We've Been Asked, [QB 18/08](#): "Binding Rulings — Effect of the Commissioner changing her mind in relation to the application of s BG 1" considers the situation where the Commissioner has issued a binding ruling that a general anti-avoidance provision does not apply to an ongoing arrangement and then later identifies some concerns that the conclusion may be incorrect and that the anti-avoidance provision may apply. The question posed is whether the Commissioner can take a different view on the application of the general anti-avoidance provision to an ongoing arrangement when a binding ruling that applies in relation to the general anti-avoidance provision expires. The conclusion reached in the item is that, yes, the Commissioner can apply a new interpretation of the anti-avoidance provision to any period following the expiry of the ruling, as long as this does not have the effect of reversing the tax outcomes in the period covered by the ruling.

IS 21/02

See the discussion on personal services attribution rule for more detail at [¶33-325](#), and in interpretation statement [IS 21/02](#) "Income tax – Calculating income from personal services to be attributed to the working person".

QB 23/01 and QB 23/02

Both questions deal with different scenarios on tax avoidance. See [¶33-140](#) for more on the scenarios discussed. They cover:

- # interest deductions where shareholder loans have been replaced by third party lending ([QB 23/01](#))
- # interest deductions and the use of a portfolio investment entity ([QB 23/01](#))
- # reinvestment and use of a portfolio investment entity ([QB 23/01](#))
- # use of a limited partnership ([QB 23/02](#))
- # use of a discretionary trust ([QB 23/02](#))

GA 24/01

General Article [GA 24/01](#) "Proposed increase in the trustee tax rate to 39%" provides high-level guidance of the Commissioner's view on the application of the tax avoidance provisions to certain transactions and structural changes in response to the proposed increase in the trustee tax rate from 33% to 39%. The table below summarises the Commissioner's view in various scenarios:

Situations that are unlikely to be considered tax avoidance (if without any artificial or contrived features)	Situations that may raise concerns or result in further investigation
A company owned by a trust changes its dividend paying policy by taking into account the funding needs of shareholders and applicable tax rates	Distribution of dividend by crediting shareholder current accounts, but the company has no real ability to pay those credit balances if it was liquidated
A trustee distributes income to a beneficiary in accordance with the trust deed, trust law and tax law, to achieve an overall lower tax payable outcome	Despite compliance with the legal requirements, the beneficiary is not entitled under the trust or will not in reality benefit from the distribution. For example: # allocation of income to a beneficiary under an arrangement where the same amount is resettled back on the trust # allocation of income to a beneficiary by crediting the beneficiary's current account where the beneficiary has

	no knowledge of the allocation or no expectation of receiving the income
A trustee adopts a company structure and transfers its income-earning assets to the company	Examples of the use of corporate structures that may raise concerns include: # insertion of a holding company between an existing operating company and a trust (see Revenue Alert, RA 18/01 , Example 2)
	# diversion of personal service income through a company structure (see Revenue Alert, RA 21/01)
A trustee chooses to wind up the trust	Artificial arrangements to manipulate the new 39% tax rate such as: # replacing dividend income with loans that do not reflect the reality of the arrangement # artificially altering the timing of assessable or deductible payment disregarding existing contractual terms
A trustee chooses to invest in a portfolio investment entity (PIE)	Creating or increasing income or expenditure (eg related party transactions including dividends, interest or management fees) that does not reflect the reality of the arrangement

Last reviewed on 31 December 2025

Tax avoidance scenarios [¶33-140]

[¶33-140]

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IR issued interpretation statement [IS 23/01](#), “Tax Avoidance and the interpretation of the general anti-avoidance provisions sections [BG 1](#) and [GA 1](#) of the Income Tax Act 2007” at the same time they issued QWBA [QB 23/01](#), “Income Tax: scenarios on tax avoidance – 2023 No 1” and [QB 23/02](#), “Income Tax: scenarios on tax avoidance – 2023 No 2”, which consider 4 scenarios that amount to tax avoidance.

Interest deductions when shareholder loans are replaced

[QB 23/01](#), “Income Tax: scenarios on tax avoidance – 2023 No 1” replaces [QB 14/11](#) (scenario 1) and [QB 15/11](#) (scenario 2).

This scenario involves interest deductions where shareholder loans are replaced:

Company A is wholly-owned by a family trust. The trust has advanced to the company \$1 million in shareholder loans. Company A has used the shareholder loans to finance its business operations for the purpose of deriving assessable income. Company A borrows \$1 million from a third-party lender at arm's-length market interest rates to repay the shareholder loans to the trust. The third-party borrowing by Company A is secured over the assets of the trust. The trust uses the repaid funds to acquire a holiday home for use by the trust's beneficiaries. For tax purposes, Company A deducts interest incurred on the loan from the third-party lender from its business income.

The Commissioner's view is that, without more, s [BG 1](#) would not apply to this arrangement to deny Company A interest deductions under s [DB 6](#) or [DB 7](#) for the interest incurred in respect of the loan from the third-party lender. Viewing the arrangement as a whole in a commercially and economically realistic way does not highlight any artificial or contrived steps or elements in the arrangement. Company A has assumed a real liability in favour of the third-party lender and incurred interest as a matter of commercial and economic reality. Company A either satisfies s [DB 7](#) or the circumstances are such that the interest deductibility test is satisfied as the borrowed funds are used to replace amounts invested in the company's business. Also, the facts, features or attributes that Parliament would contemplate being present (or absent) in an arrangement making use of the provisions dealing with interest deductions are present as matters of commercial and economic reality in this arrangement.

Interest deductions and use of a portfolio investment entity (PIE)

The second scenario in this item concerns borrowing to invest in a PIE:

An individual on the 39% tax rate borrows funds for a fixed term of 2 years from Bank A and incurs interest at a fixed rate of 5% pa. Under the conditions of the loan, the taxpayer must apply the borrowed funds to acquire an investor interest in a multi-rate PIE sponsored by Bank A, with any PIE income retained by the bank in satisfaction of the taxpayer's interest obligations under the loan. Bank A's lending is secured over the taxpayer's investor interest in the PIE. The taxpayer notifies the PIE to apply a prescribed investor rate (PIR) of 28%. Under the PIE's investment policy, it must invest all funds in NZ dollar interest-bearing 2-year deposits with Bank A, and it derives a fixed pre-tax return of 4.9% pa. In their tax return, the taxpayer deducts the interest expense incurred on the borrowed funds against their other income.

The Commissioner's view is that s [BG 1](#) would apply to this arrangement. The Commissioner accepts that Parliament contemplated taxpayers could invest through a PIE to secure the tax advantage of the maximum PIR of 28%. However, [QB 23/01](#) concludes that it is clear when viewing the arrangement

as a whole and in a commercially and economically realistic way, there is a direct and unambiguous connection between the tax advantages arising under the arrangement and the artificial or contrived elements of the arrangement. Any commercial or private purposes of the arrangement have no rationale independent of the tax advantages – their achievement is dependent on the tax advantages being achieved. In particular, the lending, borrowing and investment elements of the arrangement are artificial or contrived. The tax advantages are achieved under the specific provisions as a result of the pretence that there has been borrowing of funds to apply to an income earning activity and that the PIE is part of the taxpayer's savings and investment activities. There are also a number of facts, features or attributes that Parliament would expect to be present in the arrangement as matters of commercial and economic reality that are absent. The item also concludes that the tax avoidance purpose or effect is not merely incidental to another purpose or effect.

The item details the analysis of the arrangement and at paragraph 66 works through the factors that the Commissioner relies on for the finding of tax avoidance, including the fact that the arrangement is pre-tax negative. This suggests that the tax advantage is obtained in a contrived or artificial way.

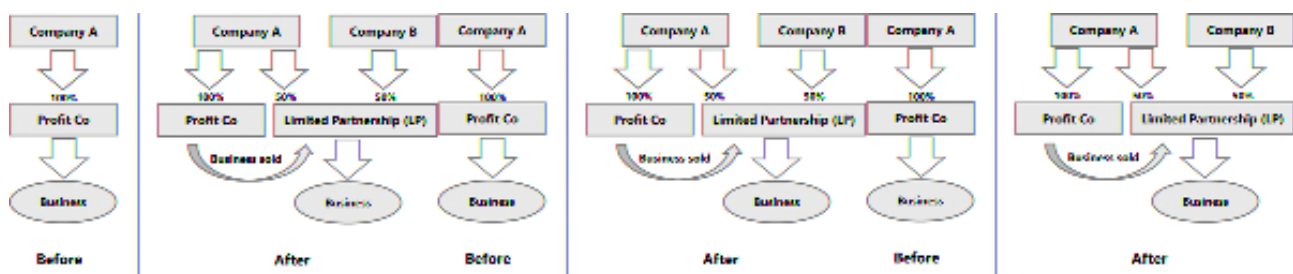
Further scenarios explored

The second item released is [QB 23/02](#), "Income Tax: scenarios on tax avoidance – 2023 No 2" which replaced [QB 14/11](#) (scenario 1), [QB 15/01](#) (debt capitalisation) and [QB 15/11](#) (scenario 3).

Use of a limited partnership

The first scenario in [QB 23/02](#) was originally found in [QB 15/11](#) and considers the use of a limited partnership as part of the restructuring of a business.

The arrangement involves 3 New Zealand resident companies — Company A (a tax loss company), Profit Co (a wholly-owned subsidiary company of Company A that is operating a profitable business), and Company B (a company not associated with Company A and Profit Co). Companies A and B establish a limited partnership (LP), registered under the Limited Partnerships Act 2008. Companies A and B make equal contributions to the capital of the partnership and agree to each receive a 50% share of partnership profits and losses. Profit Co sells its business operations to the LP at the open market value of those operations.



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The Commissioner's view is that, without more, s [BG 1](#) would not apply to this arrangement. Viewing the arrangement as a whole in a commercially and economically realistic way does not highlight any artificial or contrived steps or elements in the arrangement. The facts, features and attributes Parliament would contemplate being present (or absent) in an arrangement making use of the relevant provisions are in reality present (or absent).

Use of a discretionary trust

The second scenario in this item was also originally found in [QB 15/11](#) and concerns the situation where trustees of a discretionary trust take into account the tax position of the beneficiaries when making decisions about distributions of beneficiary income.

The Commissioner concludes that, without more, s [BG 1](#) would not apply to the arrangement. Viewing the arrangement as a whole in a commercially and economically realistic way does not highlight any artificial or contrived steps or elements in the arrangement. There is a validly established trust. The distributions of beneficiary income have been undertaken in compliance with the trust deed, general trust law requirements and subpart HC.

There is no suggestion the beneficiaries are not, in reality, entitled under the trust, or that they will not benefit from the distribution of income to them. There are no apparent facts, features or attributes that Parliament would expect to be present or absent that are not present or absent in reality. In short, the arrangement achieves the usual purposes of a discretionary trust. The Commissioner considers this is the correct conclusion despite the implication that the trustees' choices in this scenario were significantly influenced by tax considerations. The Supreme Court in *Ben Nevis Forestry Ventures Ltd v C of IR*; *Accent Management Ltd v C of IR* (2009) 24 NZTC 23,188 considered that taxpayers could structure their arrangements to their best tax advantage, provided the use of the provisions is within what Parliament would have contemplated. Accordingly, arrangements strongly influenced by tax outcomes are not necessarily tax avoidance arrangements subject to s [BG 1](#).

The Commissioner notes in [QB 23/02](#) that certain factual variations may mean that other arrangements involving distributions of beneficiary income will be tax avoidance arrangements.

Law: IT07 s [BG 1](#)

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